

and interest rates climbed, the heavily cyclical businesses owned by the conglomerates returned to earth, putting the lie to the claim that diversification allowed them to ride out a downturn. Though they promoted themselves as new men with a “free-form” vision for the organization, the reality was that most were little more than paper-shuffling financial engineers riding a market boom. “The most damaging result of the conglomerate merger era,” wrote *Fortune*’s Lewis Berman, “was the false legitimacy it seemed to confer on the pursuit of profits from financial manipulation rather than by producing something of genuine economic value.”³⁰

In the introduction to *Security Analysis*, Graham had written that it was “striking” how the financial scene in the 1920s—the boom that preceded the bust in 1929—was dominated by what he described as “purely psychological elements.”³¹ “In previous bull markets,” Graham wrote, “the rise in stock prices remained in fairly close relationship with the improvement in the business during the greater part of the cycle; it was only in its invariably short-lived culminating phase that quotations were forced to disproportionate heights by the unbridled optimism of the speculative contingent.”³²

The “new-era” doctrine—that “good” stocks (or “blue chips”) were sound investments regardless of how high the price paid for them was at bottom only a means of rationalizing under the title of “investment” the well-nigh universal capitulation to the gambling fever. We suggest that the psychological phenomenon is closely related to the dominant importance assumed in recent years by intangible factors value, viz., good-will, management, expected earning power, etc. Such value factors, while undoubtedly real, are not subject to mathematical calculation; hence the standards by which they are measured are to a great extent arbitrary and can suffer the widest variations in accordance with the prevalent psychology.

Graham could just as easily have been describing the conglomerate era. It wasn’t a recent phenomenon in 1969, or even 1929 for that matter, that purely psychological elements dominated the market. In 1720 an anonymous pamphleteer had decried the speculation in the shares of the South Sea Company, warning that, “The additional rise of this stock above the true capital will be only imaginary; one added to one, by any rules of vulgar arithmetic, will never make three and a half; consequently, all fictitious value must be a loss to some persons or other, first or last.”³³ But neither was 1720 the birth of speculation.

As Edward Chancellor chronicled in his brilliant book *Devil Take The Hindmost: A History of Financial Speculation*, the “purely psychological element” has been associated with markets as long as markets have existed,